

3. ANALYZING BALANCE SHEETS

INTANGIBLE ASSETS AND MARKETABLE SECURITIES

Unidentifiable intangible assets cannot be acquired separately

	Tangible & Identifiable	Intangible & Identifiable	Intangible & Unidentifiable
Examples	Buildings, machinery, vehicles	Patents, trademarks, software	Goodwill
Initial Recognition	Historical cost or fair value	Historical cost or fair value	Arises from business combinations (purchase price allocation)
Subsequent Treatment	Depreciation (straight-line, declining balance)	Amortization (finite life), impairment testing (indefinite life)	Impairment test only
Impairment Testing	Yes, when impairment indicators arise	Yes, when impairment indicators arise	Yes, at least annually
Revaluation Option	Allowed under IFRS, not US GAAP	Allowed under IFRS (for some intangibles), not US GAAP	Not applicable

Under U.S. GAAP, only the cost model is allowed

IFRS allows both cost model and evaluation model in intangible asset reporting.

Intangible assets that are created internally, such as research and development costs, are expensed/ capitalized. Research costs cannot be capitalized. However, **development costs** may be capitalized.

All other cost cannot be capitalized and must be expensed

Finite-lived intangible assets are amortized over their useful lives and tested for impairment in the same way as PP&E.

Measurement of Financial Assets

	<i>Held to maturity</i>	<i>Trading securities</i>	<i>Available for sale securities</i>
<i>Recognition on the B/S</i>	<i>Amortized cost</i>	<i>Fair value</i>	<i>Fair value</i>
<i>Unrealized G/L</i>	<i>Not reported</i>	<i>I/S</i>	<i>OCI</i>
<i>Realized G/L</i>	<i>I/S</i>	<i>I/S</i>	<i>I/S</i>

fair value = market value

amortized cost = carrying value = Initial Purchase Price (Cost) + interest

income – coupon payments

amortized cost example:

Year	Beginning Amortized Cost	Interest Income (6%)	Coupon Payment (5%)	Amortization of Discount	Ending Amortized Cost
1	\$950.00	\$57.00	\$50.00	\$7.00	\$957.00
2	\$957.00	\$57.42	\$50.00	\$7.42	\$964.42
3	\$964.42	\$57.87	\$50.00	\$7.87	\$972.29
4	\$972.29	\$58.34	\$50.00	\$8.34	\$980.63
5	\$980.63	\$58.84	\$50.00	\$8.84	\$1,000.00

If hold to maturity bonds purchased at par, amortized cost (carrying value) is constant every year. Amortized cost reach to par over the time period if buying at premium or discounted. However, at any given point before maturity, the **amortized cost** reflects the **purchase price adjusted for the amortized portion of the discount or premium**.

Other financial instruments:

Long-term financial liabilities include bank loans, notes payable, bonds payable, and some derivatives. If the financial liabilities are not issued at face value, the liabilities are usually reported on the balance sheet at amortized cost.

Deferred tax liabilities are income taxes payable in future periods.

Deferred tax liabilities are created when: income tax (theory pay in I/S statement) > taxes

payable (need to pay in tax report)

A common example is when a firm uses an accelerated depreciation method for tax purposes and the straight-line method for financial reporting (I/S)

Higher depreciation reduces **taxable income**, leading to **lower taxes** in the early years.

Liquidity ratio: Current, Cash, Quick cash ratio is defined as $(\text{Cash} + \text{Marketable securities}) / \text{current liabilities}$

Solvency: long term debt to equity, debt to equity, financial leverage

Questions:

31.1 intangible assets and marketable securities

At the beginning of the year, Company P purchased \$80,000 face value of Company S corporate bonds for \$77,000. Company P intends to hold these bonds for several years but sell them before they mature. At the end of the year, the market value of the bonds was \$75,000. What amount should Company P report on its balance sheet at year-end for the investment in Company S bonds?

ans:

75,000. Debt securities acquired with the intent to sell before maturity are reported on the balance sheet at their fair values (available for sale).